the next day, he had perceptibly modified his stand, testimony that Purshotamdas's persuasion had succeeded in substantially changing his attitude.

A Gold Standard for India

Before making its recommendations the Commission traced the history of Indian currency briefly and outlined what it considered to be the major defects in the system. The Commission held that the system was far from simple and the basis of the stability of the rupee was not easily intelligible to the public. The currency consisted of two tokens in circulation: paper notes and silver rupees, which were mutually convertible. Further, the rupee token, (into which there was an unlimited liability to convert the other) was very expensive and liable to vanish from circulation if the price of silver rose beyond a certain level. The Commission criticized the 'cumbrous duplication of reserves' and the antiquated and dangerous division of responsibility for control of credit and currency between the Government of India and the Imperial Bank of India. The government controlled currency, and the credit situation was controlled—so far as it was controlled at all—by the bank. Thirdly, the expansion and contraction of currency were wholly dependent on the will of the currency authority and did not expand or contract automatically. Lastly, the system was inelastic.[11]

After an exhaustive enquiry, the Commission identified three methods by which the defects in the system might be remedied: (1) the perfection of the sterling exchange standard; (2) the adoption of a gold exchange standard; and (3) the adoption of a gold standard proper, with or without a gold currency. The Commission arguing against the first, maintained that silver currency would still remain subject to the danger implied in a rise in the price of silver. Also, if sterling were once more divorced from gold, the rupee would also be similarly divorced. Should sterling be heavily depreciated, Indian prices would have to follow sterling prices, however high the latter might go, or else India would have to absorb some portion of the rise by raising her exchange.

A gold exchange standard, the Commission reported, could be secured by providing that the currency authority should undertake an obligation to buy and sell at the upper and lower gold points, respectively, unlimited amounts